Date of Request: May 21, 2021 Request No. SANE-33
Due Date: May 26, 2021 NG Request No. NG-1565

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: Kim Fraczek

TO: National Grid

SUBJECT: Gas Infrastructure

Request:

1. In the Joint Proposal Appendix 1 the Companies forecast a capital expenditure of $12,264,000 for KEDNY LNG Blanket in FY‘24, a large increase from the previous years and $9,499,627 more than forecasted in the Companies’ December 2019 Second Supplemental Testimony.

   The Companies forecast a capital expenditure of $5,754,000 for KEDLI LNG Blanket in FY‘24, a large increase from the previous years and $4,609,781 more than forecasted in the Companies’ December 2019 Second Supplemental Testimony.

   a. Please explain the changes in the LNG Blanket Program for both KEDNY & KEDLI leading to increased capital expenditures.

2. Appendix 6 “Capital Capacity Projects Summary of Estimated Revenue Requirement Impact” shows the total Capex Impact of Vaporizers 13 & 14 from FY’20-FY’24 to be $4,329,000 higher than the Companies originally forecasted in their Direct Capital Expenditures in the December 2019 Second Supplemental Testimony.

   b. Please explain the increased costs for Vaporizers 13 & 14.

Response:

1. As described in the Companies’ GIOP testimonies, the LNG Blanket program provides funding for near-term and emergent capital projects needed to maintain safety and reliability at its LNG facilities. The LNG Blanket budget is based on historical averages and typically increases 2% annually (adjusting for inflation). In FY24, the base capital expenditure for the LNG Blanket in KEDNY and KEDLI is $2,764,373 and $1,144,219, respectively. The FY24 figures for the LNG Blanket in Appendix 1, Schedule 5 and

Appendix 2, Schedule 5 referenced in the question include additional projects beyond the base levels, which are listed below:

KEDNY:

- LNG - Generators Upgrade
- LNG - Tank 2 Foundation Heaters
- LNG - Vapor Suppression System

KEDLI:

- LNG - Piping Insulation Inspection & Upgrade
- LNG - Heat Exchanger/Plant Cooling Systems Replacement
- LNG - Hydrant System Piping Refurbishment
- LNG - LNG Pump Upgrade
- LNG - Vapor Suppression System
- LNG - Tank Foundation Heating System Upgrade
- LNG - Tank Stair Replacement
- LNG - Cyber Security Enhancements

2. The initial estimate for Vaporizers 13 and 14 was developed primarily based on a similar project for Vaporizers 11 and 12. As the project progressed, a refined estimate was developed. The refined estimate includes refined scope based on conceptual engineering, construction bids received, and risks-based estimates, and serves as a more accurate depiction of potential costs based on the specifics of the project.

Name of Respondent: Wilson Wong

Date of Reply: May 26, 2021